IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH, CHENNAI

CP/864 & 865/CAA/2019
In
CA/447 & 448/CAA/2019

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Arrangement (Demerger)*

Between

M/s. IND ECO VENTURES LIMITED

... Demerged Company

And

M/s. SOURA INVESTMENTS HOLDINGS PVT LTD

... Resulting Company

And

Their respective Shareholders and Creditors

Order delivered on 6th September, 2019

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CH. MOHD SHARIEF TARIQ, MEMBER (JUDICIAL)
ANIL KUMAR B, MEMBER (TECHNICAL)

For Petitioner(s) : *R. Kannan, PCS*

O R D E R

Per: CH. MOHD SHARIEF TARIQ, MEMBER (JUDICIAL)

1. Under consideration is the Company Petition Nos.864 & 865/CAA/2019 filed under Sections 230 to 232 of the Companies Act, 2013 r/w the Companies (Compromises,

Arrangements and Amalgamations) Rules, 2016. As per the Scheme of Arrangement (in short, **'Scheme'**), the Investment Business of *"M/s. Ind Eco Ventures Limited"* (hereinafter referred to as **'Demerged Company'**) will be vested with *"M/s. Soura Investments Holdings Private Limited"* (hereinafter referred to as **'Resulting Company'**) as a 'going concern'.

2. The *Demerged Company* was originally incorporated as Siga Pharma Lapse (P) Limited on 23.04.1982 under the provisions of the Companies Act, 1956 with the Registrar of Companies, Tamil Nadu. The Company's name was changed to Loyal Super Remedies (P) Limited on 29.11.1985. Thereafter, the Company was converted into a Public Limited Company on 01.03.1986 and the name of the Company was further changed to MSKV Remedies Limited on 21.01.2002. Subsequently, on 22.05.2008, the name of the Company was changed to the present name *"Ind Eco Ventures Limited"*. The Registered Office of the Demerged Company is situated at Kothari Building, 4th Floor, 114, M.G. Road, Nungambakkam, Chennai – 600 034.

3. The *Resulting Company* was incorporated on 26.03.2019 under the Companies Act, 2013 and having its Registered Office at IV Floor, Kothari Building, 114, Nungambakkam High Road, Nungambakkam, Chennai – 600 034.

4. The *Demerged Company* is an independent renewable energy-based power generation Company, engaged in developing, owing and operating alternate sources of energy producing assets in India. It is involved in the development and operation of wind farms; acquiring and establishing wind power projects, etc. The details of the main objects are set out in the Memorandum of Association of the Demerged Company.

5. The *Resulting Company* is engaged in the business of investments in Companies, both listed and unlisted, in Equity Shares, preference Shares, Debentures, Bonds, etc. The details of the main objects are set out in the Memorandum of Association of the Resulting Company.

6. The Board of Directors of the Petitioner Companies vide Resolution(s) dated 27.03.2019 have approved the Scheme. The other necessary requirements have also been fulfilled as per the Order dated 26.04.2019 passed by this Bench in CA/447 & 448/CAA/2019.

7. The Counsel appearing for the Petitioner Companies submitted that the rationale and circumstances that has necessitated the present Scheme is that, the proposed restricting would result in better and efficient control by the management for the segregated businesses and promote their growth. The proposed Scheme would help to achieve, greater administrative efficiency, operational rationalization, organization efficiency and optimum utilization of various resources, ability to leverage financial and operational resources of each business.

8. The Clause 4 of Part – B of the Scheme stipulates that with effect from the Appointed Date and upon the Scheme becoming effective, the Investment Business of the Demerged Company, shall, under the provisions of Section 230 to 240

and all other applicable provisions, if any, of the Act, without any further act, instrument or deed, be and stand vested in, and/or be deemed to be vested in, the Resulting Company as a *'going concern'*, so as to become, as and from the Appointed Date, the assets and liabilities of the Resulting Company and there shall be vested in the Resulting Company, all the rights, titles, interest or obligations of the said investment business therein and shall be free from all encumbrances.

9. The Statutory Auditors of the Demerged Company have examined the Scheme in terms of provisions of Sec. 232 of Companies Act, 2013 and the rules made thereunder and certified that Accounting treatment is in compliance with Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies (Accounts) Rules, 2014.

10. The Regional Director, Chennai (in short, '**RD**') in his Affidavit dated 09.08.2019 submitted that Clause 10 of Part B of the Scheme protects the interest of the employees / staff of the Demerged undertaking.

11. The RD in para 9 of his report has stated that Clause 13 to Part C of the Scheme proposed to reduce the face value of the Equity shares under the Authorized Capital and also the issued, subscribed and paid up Equity shares from Rs.10 per share to Rs.5 per share and hence prayed that the Demerged Company may be directed to file the necessary E-form with RoC, Chennai intimating this Amendment to the Capital Clause of the Memorandum and Articles of Association. Accordingly, it is directed that the Demerged Company shall file the necessary E-form with RoC, Chennai intimating the Amendment to the Capital Clause of the Memorandum and Articles of Association.

12. The RD has further submitted that as per the report of RoC, Chennai, the Demerged Company is regular in filing its statutory returns. Further in respect of the Resulting Company, the first statutory returns are not yet due as the Company was incorporated only on 29.03.2019. He has further submitted that, there is no prosecution filed, no complaints pending and no inspection/investigation has been conducted/pending in respect of both the Companies.

In result, the RD after examining the Scheme and the applications filed therewith has decided not to make any objection to the Scheme.

13. The Scheme will not cast any additional burden on the stakeholders and also will not prejudicially affect the interests of any class of the creditors in any manner. There is no requirement to modify the proposed Scheme. The Scheme of Arrangement (Demerger) appears to be fair and reasonable and is not contrary to public policy and not violative of any provisions of law. All the statutory compliances have been made under section 230 to 232 of the Companies Act, 2013.

14. Therefore, the Scheme annexed with Petitions stand sanctioned. The Scheme sanctioned shall be binding on all the Equity Shareholders, the Creditors of the Demerged Company, the Resulting Company and on all their respective employees. The Scheme shall become effective from the Appointed Date viz., **31.03.2019**.

15. However, it is further clarified that this Order will not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

16. The Companies to the said Scheme or other person interested shall be at liberty to apply to this Bench for any direction that may be necessary with regard to the working of the said Scheme.

17. The Petitioner Company shall file with the concerned Registrar of Companies the certified copy of this Order within 30 days of the receipt of the order.

18. The Order of sanction to this Scheme shall be prepared by the Registry as per the relevant format provided under the Companies (Compromises, Arrangements and

Amalgamations) Rules, 2016 notified on 14th December, 2016.

19. Thus, the Scheme stands sanctioned and CPs/864 & 865/CAA/2019 stand **disposed of**.

-SD-
ANIL KUMAR B
MEMBER (TECHNICAL)

-SD-
CH. MOHD. SHARIEF TARIQ
MEMBER (JUDICIAL)

RAYMOND